

SOLV ENERGY INC MWH

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by

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			2026	2027
Price:	25.00	EPS	0	0
Shares Out. (in M):	202	P/E	12.9	12.6
Market Cap (in \$M):	5,060	P/FCF	14	12
Net Debt (in \$M):	-280	EBIT	0	0
TEV (in \$M):	4,780	TEV/EBIT	0	0

Description

SUMMARY THESIS

SOLV Energy (MWH) is a leading utility scale solar EPC specializing in large (>200MW), more complex projects. Despite exceeding consensus expectations each quarter since its February IPO, recent non-fundamental selling pressure has weighed on the stock. This includes: 1) PE sponsor sale following the IPO lock-up last month (which included drag along provisions requiring management to also sell); 2) categorical selling of solar stocks despite MWH having zero exposure to residential and distributed end-markets and actually benefiting from lower panel prices; and 3) an unwind in power generation EPCs. Further, various misperceptions have led to a valuation disconnect: 1) the sustainability of MWH's revenue growth and outsized margins and 2) industrywide concerns following cost overruns by a renewables EPC peer. MWH's proprietary construction management platform, Sunscreen, underpins its performance, execution and mitigates cost overruns. MWH is net cash with an asset light structure and high FCF conversion profile. On consensus estimates, MWH is currently trading at 9.4x 2027 EV/EBITDA, 9.5x EV/ EBITDA-capex and 13.8x 2027 P/E with a clear path to upside to consensus numbers. As a pure play utility scale solar EPC, MWH is less diversified than peers, but it has a higher growth, strong backlog, margin and ROIC (+20%) profile which should warrant at least an equivalent multiple. **Base case YE2026 PT: \$40 (+60%).**

BUSINESS OVERVIEW

Utility scale solar is the lowest cost and fastest form of power generation to construct, among other favorable attributes. Power demand is entering a multi-year growth cycle with end-market demand supportive of 8-10% CAGR through 2031. The average size per planned project industrywide has increased 40% Y/Y. There are now only 3-4 EPCs that can handle projects of this size and profile.

MWH is vertically integrated and self-performs 90% of its work. Revenue in 2025 increased 35% with its Q2'26 total backlog growing to \$8.9B (45% Y/Y growth, equating to a 2.7x BTB, 1.7x BTB based on signed contracts). Large new contracts (i.e. higher revenue per project) and exposure to Texas, California and Arizona have driven outsized topline growth. This combined with industry-leading execution, a proprietary project estimating & management software platform, a more asset light structure and post-construction service and maintenance contracts translate to materially higher margins than equivalent segments at MTZ, PWR and PRIM. MWH also provides O&M work which is a key differentiator to developers/ asset owners and a source of recurring post-construction revenue to MWH. Currently zero exposure to BTM AI DC and more speculative projects. 100% of the projects in its backlog are under safe harbor provision thus bearing less cancelation risk.

KEY POINTS:

Attractive Competitive Dynamics, Operational Advantages & Margin Sustainability: Current scale of new projects coming to market limits the number of potential competitors to SOLV, Primoris, Blattner (Quanta), MasTec and, to a lesser degree, Rosendin. This is keeping pricing disciplined and enabling EPCs to be selective. Accelerating developer timelines is enabling EPCs to command higher margins. As ITC deadlines approach, this sense of urgency will almost certainly be further supportive of EPC pricing. Two developers in August indicated that they have seen EPC margins increase 5-10% over the last year. Top EPCs are benefitting from this skew to larger projects with higher margins (scale/ operating leverage, same number of engineers per site, few potential bidders). This was articulated by management on the earnings call and is confirmed by multiple industry sources. Higher total project costs are also benefiting MWH dollar margins. Utility scale construction is not linear but exponential as size and scope increase in a step order as larger equipment is needed and requires installation of substations, inverters and management of more complex interconnection. EPC selection is primarily driven by bankability/ financial capacity, execution track record, geographic/ topography capabilities and procurement. This creates significant entry barriers. MWH has a strong track record of execution and performance, if not the best in the industry with less than 1% loss rates. The underpinning of which is its proprietary construction management platform, Sunscreen (the only such in the industry). This software bolsters project estimating and provides QA/QC reporting, schedule integration, progress tracking, module serial-number tracking, and field intelligence capabilities. This internally developed platform evolved from a simple QA/QC app into a comprehensive construction data platform used across its projects and is the underpinning of its industry-low project loss rates and high success rate in achieving completion milestone incentives. The sustainability of its higher margins is further supported by labor cost optimization. MWH's vertically integrated structure and robust planning capabilities enable it to sequence labor efficiently between projects at different stages and reduce cost re-mobilizations. SOLV has a very high safety rating which affords lower insurance and liability costs, another competitive advantage in the bidding process. Its BESS and inverter integration expertise put it in a class with only Quanta, Primoris and Rosendin.

Misperceptions Regarding Projects: There is a misconception that utility scale solar construction is transactional and project-to-project. The reality is the top EPCs are highly integrated with the developers. While out-year projects may not be formally booked to backlog, teams are often contracted for a series of consecutive projects within a developer's pipeline, extending out 3-4 years. The top developers prefer this arrangement as it provides continuity, an established working relationship and avoids the need to restructure new contracts for each individual project. MWH's tier 1 customer base has backlogs supportive of growth through 2030. This includes well capitalized IPPs, utilities, dedicated renewables investment vehicles (Brookfield, KKR, TPG, DESRI, BlackRock) which have raised over \$40B of committed capital alone YTD. Project financing is supported by 20-30-year PPA agreements. Many of these

projects (estimated 75%) are negotiated versus competitive bid.

Accelerating Multi-year Growth: Our variant view is that there is upside to utility scale solar construction growth in 2026 and 2027 with increasing visibility to 10-15% annual growth through 2030. Currently 230 GW of planned (yet to be constructed) utility scale solar projects have been safe harbored. Industry data (WoodMac and EIA) forecasted a step down in new additions in 2026 (which has already been proven inaccurate given 1H data) and a more material drop in 2028 as ITC benefits sunset. Investors and sell-side have anchored to this assumption. However, this is due to smaller, marginal projects (sub-100MW) by tier II developers falling off as tax credits sunset. Based on conversations with the largest developers, customers and various other data points indicate that construction of larger projects (which is MWH's area of focus), will increase HSD/ LDD on a dollar and MW basis. EPC revenue per project is further increased by battery storage (BESS) additions. Solar-plus-storage has now become the standard for new projects, adding 30-40% more revenue per MW of solar installed.

Per upwardly revised June 2026 estimates, EIA now estimates solar generation will increase by more than 20% in both 2026 and 2027. Much of that growth is concentrated in Texas, where the grid managed by ERCOT continues to attract large-scale renewable investment. Solar generation in ERCOT is expected to nearly double, from 56 BkWh in 2025 to 106 BkWh by 2027 (source). Texas is the top state for utility-scale solar power generation with 25 solar projects in the state in the construction phase with a high probability of completion that are worth an estimated \$9B. EIA expects battery capacity in ERCOT to rise from about 15 GW in 2025 to 37 GW by the end of 2027. Per Roth 2026 US Utility Scale Solar Outlook Survey (25% of install market surveyed). 2026 installation estimates 42GW (+5% growth) vs. Wood Mackenzie at 36GW and BNEF at 35GW. Our calls with MWH largest customers support this trajectory with the three largest seeing +25% growth in 2026 and pipelines full through 2029-30. This is further supported by the reality that lead times on large gas turbines are now (as of 7/26) extending out 5-7 years with unit pricing rising rapidly, thus making utility scale solar the only near-term option for new power generation.

Economic & Practical Rationale for Utility Solar: Utility scale solar is the lowest cost (unsubsidized) and fastest form of power generation to construct. This has been driven by 90% decline in solar panel and BESS systems prices over the last ten years and advancements in technology to increase output. Meanwhile natural gas turbines and other power generation costs have increased 20-40% over the last year alone. On a LCOE basis, utility scale solar is >50% below that of CCGT. A solar array can be constructed in 12-18 months vs 3-4 years for a gas plant. Meanwhile turbines lead times are 5-6 years. In addition to speed to market/ construction, economics are driving activity (source). Bottomline: Post-ITC IPPs will increase off-take rates to meet ROIC targets. Utility scale solar projects are highly bankable as they are backed by 30-year power purchase agreements (PPAs).

Higher Margin & Recurring O&M Segment (5% of sales): Unlike its peers, MWH provides ongoing post-construction maintenance and services to developers. This generates 2x the margins of the core EPC segment. It is the #2 provider of such services in the US. This is attractive to developers as: 1) it provides some assurance that MWH will execute its EPC work at a high-quality standard which is optimized for operating efficiency as MWH has a vested interest in the ongoing performance of the utility scale solar asset and 2) it alleviates the need to hire an additional contractor. MWH reports that 70-90% of its original EPC site development converts to O&M contracts (fixed fee, 5-year min term) at an annual \$1M per 100MW/ \$100M of original construction cost. Corrective maintenance and weather event work are an incremental source of revenue. The Company notes that corrective maintenance or unplanned repairs often represent 70–90% of the fixed O&M fee. This bears higher margins and is similar in nature to MSA work. In FY2025 O&M revenue grew 55% y/y and MWH now has >22 GW under contract. SOLV's proprietary O&M analytics platform, Vitals, serves as a competitive differentiator. This cloud-based system analyzes operational data from solar and storage assets, helping teams monitor performance, identify issues, categorize losses and benchmark assets across fleets.

FINANCIAL REVIEW & VALUATION

View vs Consensus:

Revenue Growth: Investors generally discount the post-ITC growth prospects for utility scale solar. The reality is the levelized cost of solar is the lowest (ex-tax credits) and the fastest and most efficient to construct. The addition of battery storage has reduced intermittency and is a significant incremental source of revenue growth for EPCs. Bottom line: utility scale solar is a permanent source and the fastest growing source of domestic power generation. This will serve to drive revenue growth above consensus. MWH's specialization and operating structure will enable sustainably higher margins. Consensus is assuming zero contribution from high margin storm remediation work.

Margin Upside: Contract performance execution and closeouts drove 18.6% gross margins and 13.6% EBITDA margins in 2025 and 12.9% in 1H'26. Despite recent performance, guidance and consensus is assuming margins moderate to 12.4% in 2H'26 and step down to 10.7% in 2027. Even factoring in the higher mix of early-stage construction (lower margins in initial phases), this is overly conservative. Thereafter, consensus assumes margins continue to decline. This is simply wrong as it fails to factor in MWH's track record of strong project execution, favorable mix shift to higher margin projects, operating leverage as well as increasing contribution from higher margin O&M.

Valuation: MWH is net cash with an asset light structure and high FCF conversion profile. On consensus estimates, MWH is currently trading at 9.4x 2027 EV/EBITDA, 9.5x EV/ EBITDA-capex and 13.8x 2027 P/E with a clear path to upside to consensus numbers. Valuation includes finance leases and equipment financing. As a pure play utility scale solar EPC, MWH is less diversified than peers, but it has a higher growth, strong backlog, margin and ROIC (+20%) profile which should warrant at least an equivalent multiple. Base case YE2026 PT: \$40 (+60%).

Peer Analysis (Consensus)

Tickers	Name	Mkt Cap	EV	FY2027			Revenue Growth		EBITDA		BTB	Backlog	
				EV/ EBITDA	EV/ EBITDA- Capex	P/E	CY2026	CY2027	Margin	ROIC		MRQ	Growth
PWR	Quanta Services Inc	92,721	98,922	20.6x	25.7x	40.8x	37%	16%	10.2%	12.0%	1.6x	43,976	27.3%
MTZ	MasTec Inc	19,974	23,017	11.4x	13.3x	26.4x	27%	19%	8.6%	13.5%	1.6x	18,963	32.6%
PRIM	Primoris Services Corp	4,209	5,270	9.8x	12.9x	14.8x	-3%	12%	7.1%	13.9%	1.9x	11,945	1.0%
MYRG	MYR Group Inc	4,871	4,800	11.0x	16.6x	20.5x	20%	16%	6.9%	9.0%	1.2x	2,824	9.6%

Upcoming Catalysts: 1) Recovery post-PE share sale; 2) Q3'26 beat and raise to FY2026 guidance; 3) the announcement of new large project wins; 4) sell-side estimate revisions; 5) upcoming investor conferences

Trading Considerations: Following the 8/10 IPO lock-up expiration, PE sponsor American Securities and SOLV Energy-affiliated OpCo unitholders converted and sold 9.3M shares at \$27.77 per share on 8/19. Drag along provisions required management to participate pro rata as well (6.2% disposition per holder). Although a non-discretionary sale by management, the optics have likely been perceived as a negative signal by the market.

Risks to Monitor:

Potential Project Cost Overruns: 100% of utility scale solar projects are performed under fixed cost contracts. This has periodically led to cost overruns and even material losses by competitors (MTZ and MYRG in 2024, PRIM in 2026). The primary culprit is poor project estimating which then get compounded by costs overruns and missed stage-of-completion incentives during the construction process. SOLV has an exceptional track record in this regard bolstered by its Sunscreen platform. This supports the sustainability of its outsized margins in 2025 and Q1'26.

Section 232 and FEOC: Requirements could constrain component availability. EPCs have not seen any impact so far and have been prepared to procure domestically to address the matter.

AI and C&I power demand moderation.

PE overhang: American Securities currently owns ~84% of S/O.

Potential permitting or regulatory delays (3k power producers and 3k regulatory bodies).

Fuel costs: 1% of total construction cost.

I hold a position with the issuer such as employment, directorship, or consultancy.

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Catalyst

- 1) Recovery post-PE share sale
- 2) Q3'26 beat and raise to FY2026 guidance
- 3) the announcement of new large project wins
- 4) sell-side estimate revisions
- 5) upcoming investor conferences

Messages

No messages